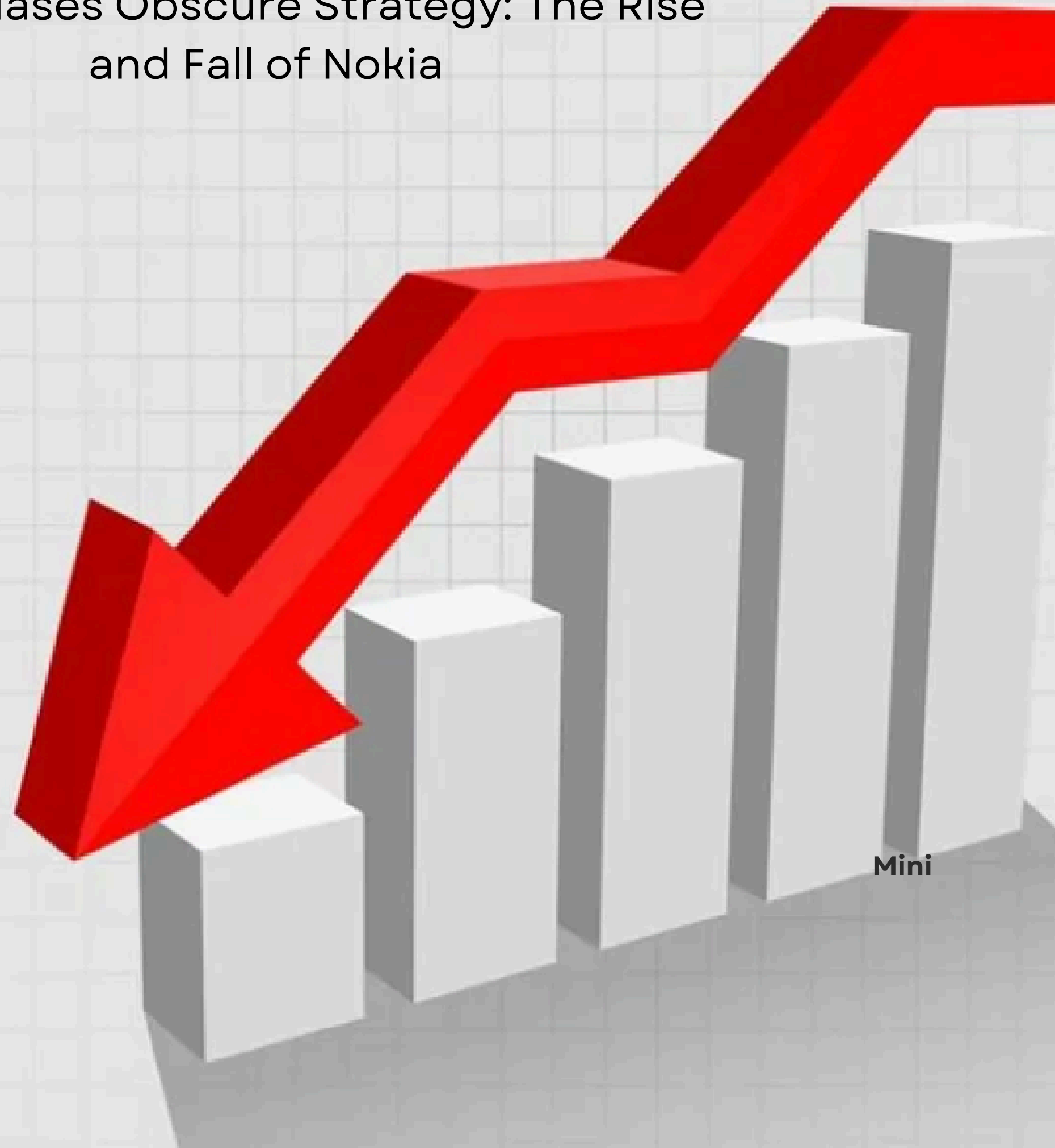


CASE STUDY

THE DOWNFALL OF NOKIA

When Biases Obscure Strategy: The Rise
and Fall of Nokia

**Nokia's Failure
Through the Lens of
Cognitive Biases**



01 Introduction and Historical Context

Nokia's history is an emblematic case for understanding how the success and failure of large organizations can depend on psychological dynamics, cognitive biases, and internal cultural processes



NOKIA

Connecting People





- **Origins and a Pioneering Mindset (1865–20th Century)**

- 1865: Founded as a pulp mill on the Nokia River in Finland by Fredrik Idestam
- Early 20th century: Merged with rubber and cable companies to form the Nokia Group
- Culture: Development of a technology-oriented culture characterized by open innovation, risk tolerance, and strong support for research

- **Golden Age and the Success Trap (1980s–2007)**

- 1980s–1990s: Expansion and consolidation in telecommunications, particularly mobile communications.
- 1996–2001: Revenues grew exponentially from €6.5 billion to €31 billion.
- 2007: Nokia reached approximately 50% of the global mobile phone market.



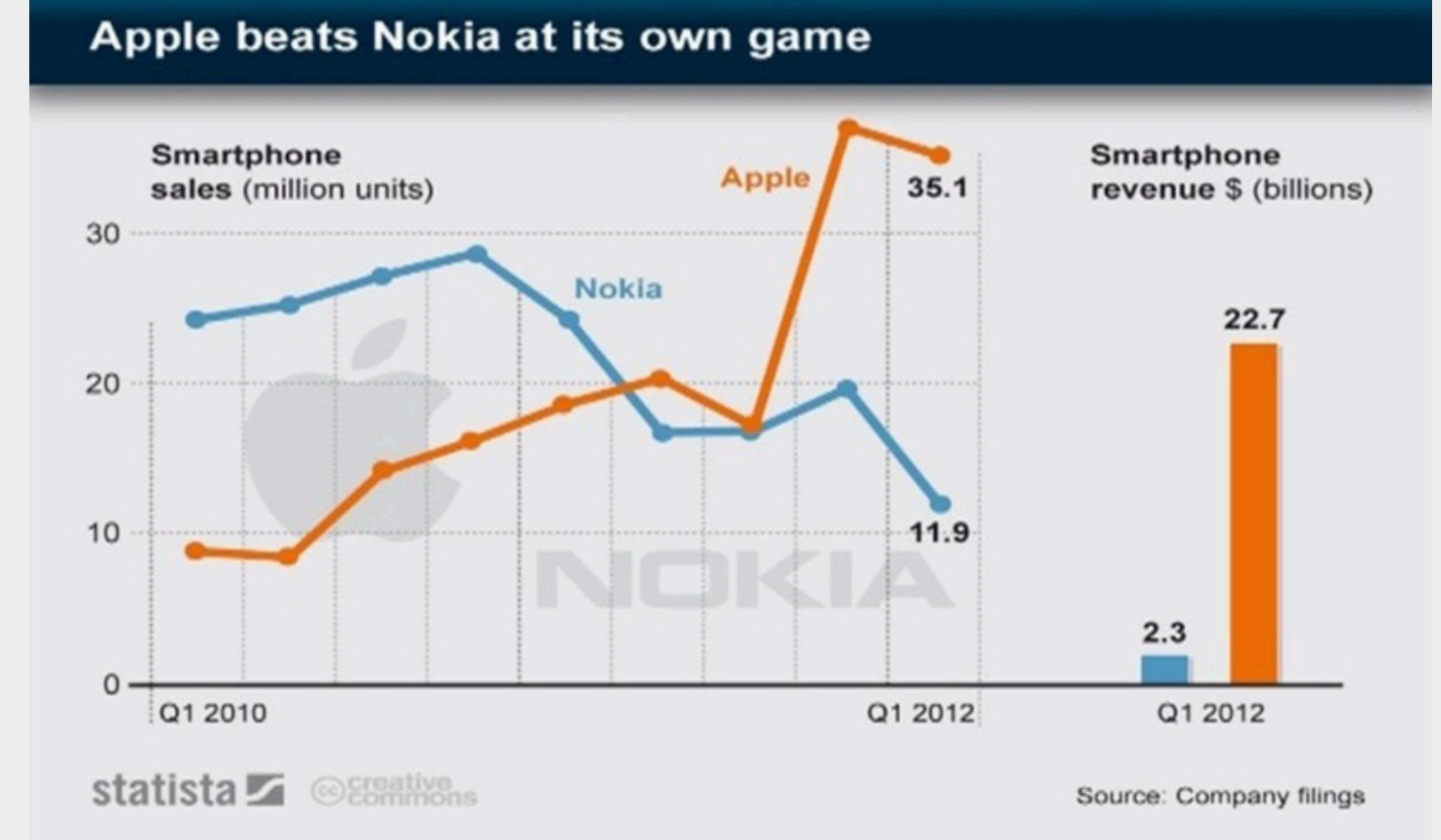
Underestimating the iPhone and the Strategic Crisis (2007–2010)

In 2007, the first iPhone was introduced, but Nokia underestimated its significance and remained strongly attached to physical-keyboard phones.

Strategic mistake: continued reliance on Symbian, an increasingly outdated operating system, and failure to recognize the growing importance of the software ecosystem, including the App Store and Android.

The Leadership Shift and the Turn Toward Decline

- 2010: Stephen Elop appointed as the new CEO.
- February 2011: Nokia abandoned Symbian and partnered with Windows Phone, ruling out Android.
- Result: Market share fell from 33% to 3%, alongside the weakness of the app ecosystem.
- Cultural factor: an internal “climate of fear” that discouraged open communication, criticism, and dissent.



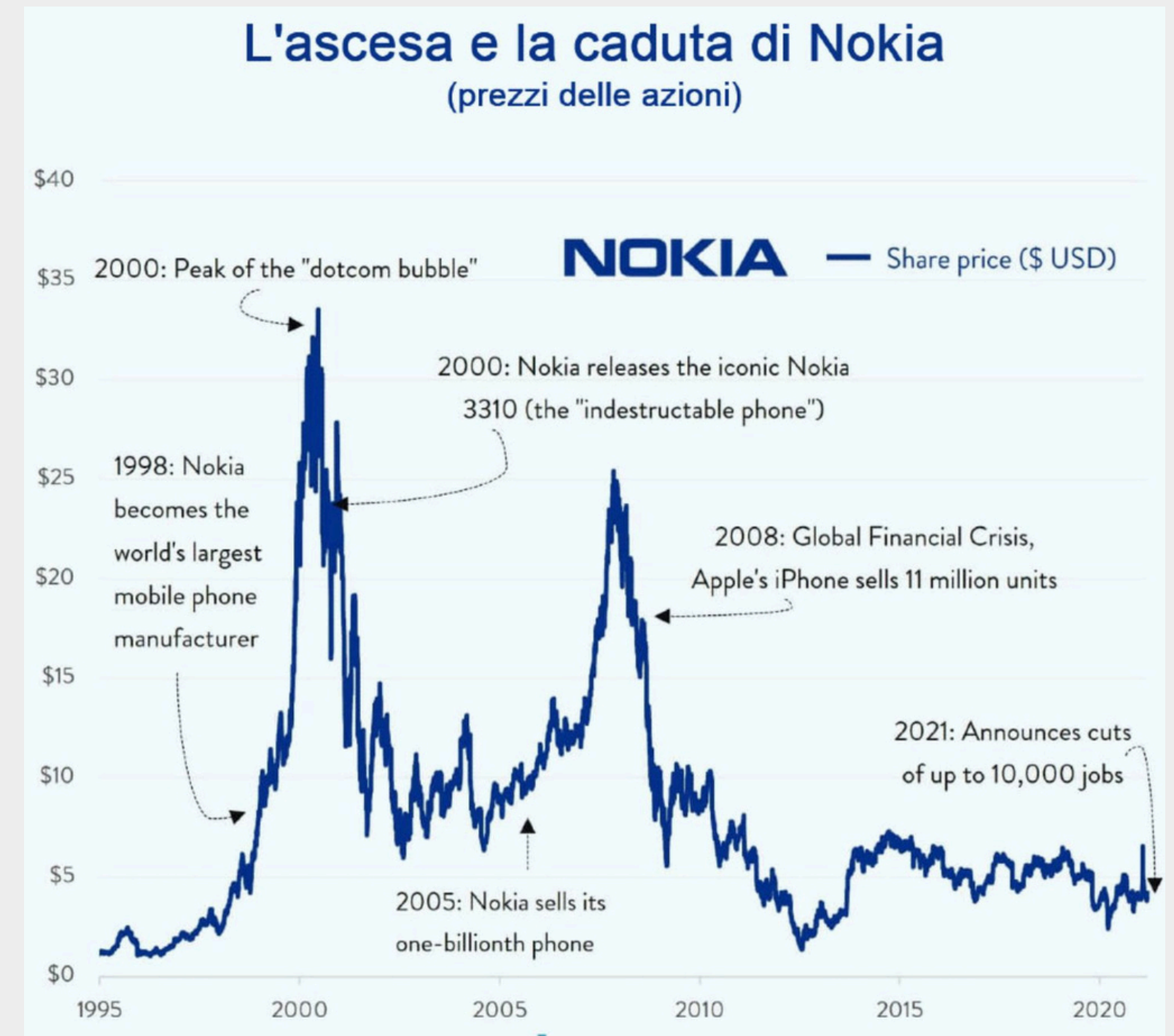
Collapse and Rebirth: Identity, Resilience, and Reframing (2013–Present)

- 2013 – The Sale: Nokia’s mobile phone division was sold to Microsoft, marking the end of its dominance in the consumer mobile market.
- 2014–Present – The Rebirth: Nokia underwent a strategic transformation toward network infrastructure and 5G technologies, moving away from the consumer market. This transition involved a demanding process of emotional regulation, organizational reframing, and the recovery of analytical discipline.

COGNITIVE BIASES

status quo bias and anchoring bias

- **Anchoring:** a cognitive bias that occurs when our decisions and estimates are influenced by previously acquired information, which acts as a reference point or “anchor.”
-
- **Status quo bias:** the cognitive tendency to prefer the current situation and resist change, even when potentially more advantageous alternatives are available.
-
- **The Nokia Case**
- - **Anchor:** physical-keyboard phones and their established pricing.
- - **Status quo:** the Symbian operating system, which was increasingly regarded as obsolete.



Overconfidence Bias and Hubris

A cognitive bias in which individuals overestimate their own abilities, knowledge, and the accuracy of their predictions, leading to excessive confidence that may manifest as arrogance or hubris.

The Nokia Case

- Excessive confidence translated into an illusion of control.**
- Failure to heed warning signs.**



Representativeness Bias and Strategic Myopia



- **Representativeness heuristic:** a mental shortcut that leads people to judge the probability of an event based on how closely it resembles an existing stereotype or prototype, while overlooking logical and statistical probabilities.
-
- **The Nokia Case**
- **- Overestimation of hardware and underestimation of the ecosystem model.**



The Culture of Silence and Fear

- Lack of psychological safety hinders honest communication, suppresses essential feedback, and distorts top management's perception of reality.
- A climate of fear and silence emerged around organizational problems across different levels of management.
- The work environment was characterized by constant pressure, job insecurity, and frequent structural changes.



Confirmation Bias

- A cognitive bias that leads individuals to seek, interpret, and remember information in ways that confirm their existing beliefs or hypotheses, while ignoring or downplaying contradictory evidence.
- Nokia case:
- Continued preference for the Windows operating system.
- Myopia regarding its limitations, such as limited language support.



Recovery Strategies Implemented

NOKIA EXITED THE SMARTPHONE MARKET AND SOLD ITS MOBILE DIVISION TO MICROSOFT BETWEEN 2013 and 2014.



- **Reduce cognitive dissonance**
- **Prevents image deterioration**
- **Interrupts negative associations**

INTERNAL RESTRUCTURING



- **Streamlines hierarchies**
- **Strengthens a consistent brand identity**
- **Reduces organizational biases**

FOCUS ON NETWORK INFRASTRUCTURE



- **Increases perceived credibility**
- **Principle of expertise**

ALCATEL-LUCENT ACQUISITION (2016)



- **Halo effect**

LICENSING OF THE BRAND (2016)



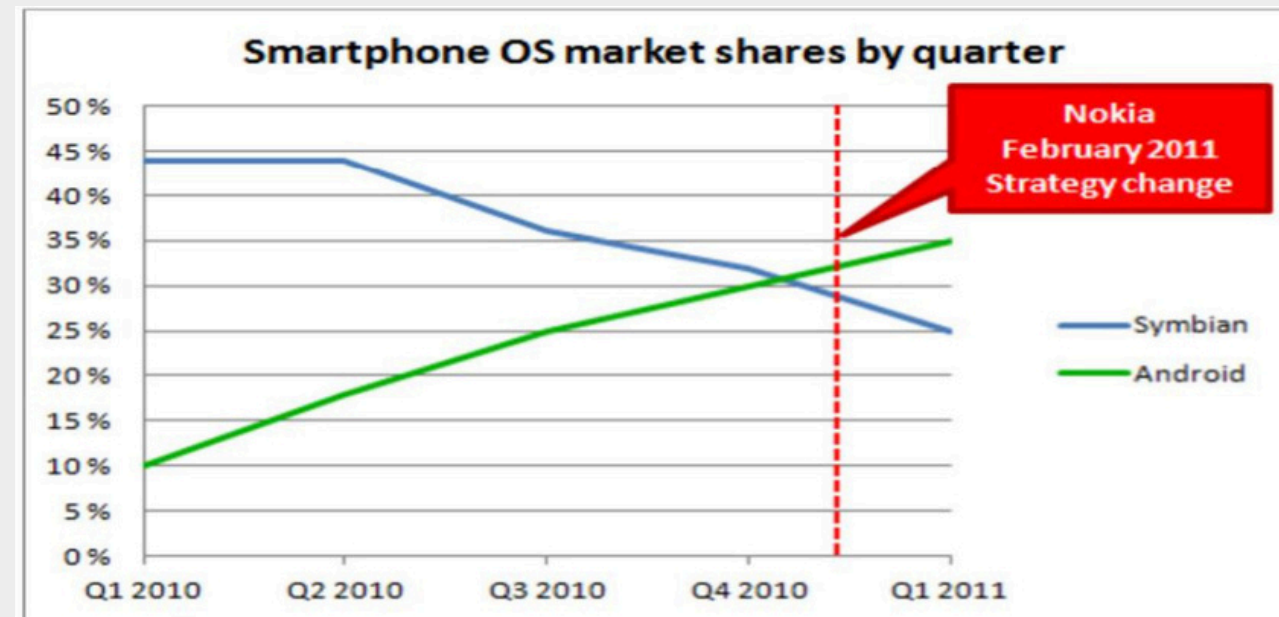
- **Brand Salience**
- **Nostalgia and Familiarity**
- **Symbolic Value**

INVESTMENTS IN EMERGING TECHNOLOGIES



- **Brand personality**
- **Expectation setting**

Strategies Nokia Could Have Implemented



2008 - 2019



2008 - 2014



2014 - 2019



2018 - 2019

android

2019 - 2023

Android



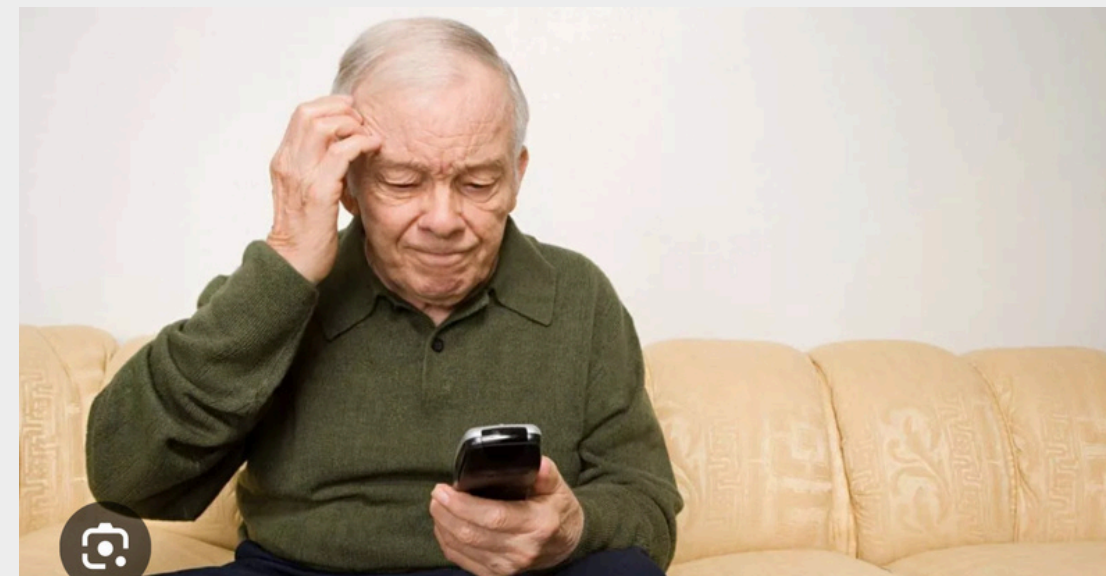
2023 - now

- Adopt Android earlier
- Encourage greater openness to internal innovation
- Establish earlier partnerships with Google or other industry players
- Strengthen the brand strategy during the crisis
- Diversify into the wearable technology market ahead of competitors (smartwatches, fitness trackers, etc.)
- Create an internal hub dedicated to user experience research

Conclusion

Nokia's decline was caused by a combination of strategic errors, organizational rigidity, and a failure to adapt to the psychological changes of consumers.

Cognitive biases such as conservatism and resistance to change slowed down crucial decisions.



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THANK YOU FOR YOUR ATTENTION

Alessia Mini,